

Evaluating Your Progress

You've prepared a net worth statement, thought about what you want to achieve in life, identified some goals, and broken them down into short- and long-term goals. Now you need to determine how you'll evaluate your progress.

You probably have a sense of whether you're making progress on your goals from month to month, but take the time to sit down at least monthly after you've updated your budget for the month and review how you're doing. Long-term goals can be reviewed less frequently than short-term goals because your time frame for achieving them is longer, but more frequent reviews allow you to spot problems earlier and take corrective action if you're falling short of where you want to be.

Tips for Recalculating and Reviewing

You should recalculate your net worth statement at least annually, but more frequently is even better. For most people, it only takes a few minutes to update the information once you've generated your first statement.

Go over your updated net worth statement, and if you're married, talk with your spouse about how much you've accomplished and where you've fallen short. If you're single you'll have to do this on your own, unless you want to involve a close friend or family member. If you're not making satisfactory progress on a particular goal, reevaluate your approach and discuss what would help you get on track. If you're making steady progress, seeing it in black and white can be motivating and rewarding. Give yourself credit for what you've achieved so far.

From time to time you may find that your goals have changed, and that's okay. A good financial plan is flexible and changes with your needs. If you lose interest in a goal, don't consider it a failure. There's no reward in working for something you don't really want. Make the necessary changes in your goals and move on.

Sometimes it can be a tremendous help to engage the assistance of others. Talk to friends and acquaintances who have achieved a goal similar to one